

Magellan MRD

Version 1.0 (DRAFT)

Changes	Date	Author
Draft	15 Aug 2025	Caroline
Draft - Redacted	17 Sep 2025	Eng Guan

MRD Sections

1. [Executive Summary - \(2 pager\)](#)

1. The customer
2. Why buy
3. Key dependencies
4. Key risks

2. [Market Situation](#)

1. Customer

3. [HP Situation](#)

4. [HP Goals](#)

1. Strategic intent
2. WW marketing Questions - Objectives and strategic intent
3. WW Marketing Questions - Challenges

5. [The Vision](#)

1. Who, But, Why HP, Because
2. Innovations
3. Business case
4. Press release and customer quote of the future

6. [Target Customer](#)

1. Segments
2. Who within the segment
3. Customer journey map
4. Customer needs
5. Customer Pain points
6. WW Marketing Questions - Target audience
7. WW Marketing Questions - Use cases
8. Top priorities next 3 - 5 years
9. Printer use

7. [How we win - offer](#)

1. Value prop
2. WW Marketing Questions - Value proposition
3. WW Marketing Questions - Product positioning
4. WW Marketing Questions- Top experiences/features
5. MVP
6. Key differentiators

7. First or best
8. Detailed requirements
9. Telemetry requirements
10. Product walk-around

1. Executive Summary

Consumer Printing Solutions & Services Program Overview Magellan Spring 27 Launch (1 Jun 27)

1. THE SMB CUSTOMER

Magellan's target customer is the Unmanaged to Lightly Managed Micro/ Small Businesses who are looking for ROI and Efficiency. They are businesses which typically have 5-250 employees, around 6-15 printers and with AMPV of around 500 pages. They do not have a dedicated IT team but instead rely on their Office Manager and/or a Generalist IT employee to help them deal with all of their IT needs.

2. WHY BUY Magellan

Breakthrough AI Productivity Meets Powerful Performance in HP's Most Cost-Efficient Color Printing Solution for Growing Businesses.

- Best AI Productivity, Scan Workflow & Manageability Solutions that make managing your business easier today and, in the future
- HP's lowest business TCO with min intervention
- The ultimate workhorse built for SMBs
- Most sustainable SMB tank printer

3. KEY DEPENDENCIES

- Warranty of 80k or 2 years whichever is first.
- Serviceability: PHA - customer replaceable and MINK at service centre (threshold. Target is customer replaceable), if out of warranty.
- Keyed bottles
- Non-PDL SKU:
 - SMB2.0 Solutions and Advanced View SMB portal
 - Supports PaaS
- PDL SKU:
 - Speed 25/20 min (improvement for PDL - currently 25/19)
 - PDL/ PS support
 - Blue Angel

4. KEY RISKS

- Limited investments and short timeline.
- New product segment - first OJ Pro with Ink Tanks.
- New customer segment (New use-cases) and New features (replaceable maintenance box).

2. Market Situation

Customer

Magellan is mainly targeting the Unmanaged/ Lightly Managed SMB that are looking for ROI & Efficiency. They are businesses which typically have 5-250 employees, around 6-15 printers and with AMPV of around 500 pages. They do not have a dedicated IT team but instead rely on their Office Manager and/or a Generalist IT employee to help them deal with all of their IT needs. Main Decision Makers are usually non-IT trained and their purchase journey is unassisted.

Magellan's target customers



	SOHO/ Micro Value Ease of Set up & Use	Magellan Design Center Unmanaged/ Lightly Managed SMB Looking for ROI & Efficiency	Lightly / Managed MB Seek Productivity & Manageability
Profile	 Personas Dynamic doers Warriors	 Personas Office Manager Generalist IT	 Personas Office Manager Dedicated IT team
IT/DM	<9 employees No IT 1-2 printers AMPV: ~300pgs	10-250 employees Generalist IT ~6-15 printers AMPV: ~500pgs	250-500 employees IT team, >15 printers AMPV: >500pgs
END USER	"I want it to be easy, and I want it to just work"	"Printer stuff should be 5% of my job or less. Save me time."	"I need my tech to work well within the existing ecosystem & increase employee productivity"
PRINT NEEDS	"I want to get my work done quickly"	"I want my tech to help me be creative and get more work done"	"I want my tech to help me be creative and get more work done"
	Ease of set up/ use Seamless connectivity Security Reliability	Good PQ & reliability Good functionality Supplies price (running costs) Advanced security	Printers/ solutions that are easily integrated into workflows/ office management Remote monitoring High reliability High security
	Complexity of Print and Solution Needs		

1

Source: Consumer Print Segmentation 25, Office Customer Compass - Mar24, Office personas 2019

3. HP Situation

While we have a great portfolio of traditional printers, we have a big gap in the CISS PLE segment. Scorpius+ will only be available in FY28 and can only address the CISS PLE Lo segment. We need Magellan to compete in CISS PLE Hi.

4. HP Goals

Strategic Intent

1. Protect Micro/ SMB segments and safeguard HP's trad ink/laser profit pool from going over to competitors.
 - **Business Ink Tank Advantage:** HP's First Business Ink Tank solution reinforces our leadership in the SMB segment by delivering cost-effective, high-performance solutions tailored to evolving customer needs.
 - **Maximizing a \$9.5B Opportunity:** HP will be well-positioned to retain dominance in a \$9.5B revenue segment through a robust portfolio spanning both traditional and ink tank printers.
 - **Mitigating Competitive Risk Amid Market Shifts:** By proactively addressing potential transitions to CISS, we aim to preserve traditional ink and laser volumes and prevent competitive leakage.
2. Lead with LaserJet and flank with PDL in Medium and Enterprise. Win over Epson as CISS grows.
3. Grow CISS profitable share by playing in new segments.
 - Boost CISS profitability by expanding into higher-value business segments where HP still leads.
4. Supports goals for PaaS acceleration and coverage.

WW marketing Questions - Objectives and strategic intent

What are the business goals for this product launch? Please quantify them when possible.

Section WIP

- Volume of sales : 20-30K units monthly run rate
- Increase in market share : no current MS. Target share > 40%
- **Integrate innovations into existing platform**
- Address new customers' needs

WW Marketing Questions - Challenges (TBC)

Are there any major challenges in this launch? (e.g., budget constraints, unstable technology, supply chain issues, legal regulations)

- Investment budget constraints
- Timeline constraints (15mths development from DO)

What are the business opportunities and barriers? (e.g., hybrid work, AI, etc.)

- CISS in the Office is new for HP. SMB segment, especially the Unmanaged to Lightly Managed SMBs provides a big opportunity for Magellan.
- However, this will have some impact on our traditional office products like LaserJet Pros and OJ Pros but competitors are already aggressively messaging against Lasers.

5. The Vision

Who, But, Why HP, Because

With Magellan, HP has the best product portfolio for your business. HP meets your every business IT need with the widest range of products from laptops to printers designed and built for business. Magellan is our first business tank with HP's lowest business TCO and the best AI Productivity & Manageability solutions.

Innovations

- HP's First Business Tank
- Perfect Print,
- Perfect Scan
- SMB portal for managing printers (targeting the unmanaged or lightly managed SMB)

Business case

WIP

Press release of the future

WIP

Customer quote of the future

WIP

6. Target Customer

Segments

Magellan's target customers



	 SOHO/ Micro Value Ease of Set up & Use	 Magellan Design Center Unmanaged/ Lightly Managed SMB Looking for ROI & Efficiency	 Lightly / Managed MB Seek Productivity & Manageability
Profile	 Personas Dynamic doers Warriors	 Personas Office Manager Generalist IT	 Personas Office Manager Dedicated IT team
IT/DM	<9 employees No IT 1-2 printers AMPV: ~300pgs	10-250 employees Generalist IT ~6-15 printers AMPV: ~500pgs	250-500 employees IT team, >15 printers AMPV: >500pgs
END USER	"I want it to be easy, and I want it to just work"	"Printer stuff should be 5% of my job or less. Save me time."	"I need my tech to work well within the existing ecosystem & increase employee productivity"
PRINT NEEDS	Ease of set up/ use Seamless connectivity Security Reliability	"I want to get my work done quickly"	"I want my tech to help me be creative and get more work done"
		Good PQ & reliability Good functionality Supplies price (running costs) Advanced security	Printers/ solutions that are easily integrated into workflows/ office management Remote monitoring High reliability High security
		Complexity of Print and Solution Needs →	

Who within the segments

The Office Manager and the Generalist IT : They are the IT decision makers for their business.

Customer Journey Map

Identify Need/Create Need

Awareness

Research

Purchase decision

Buy

Educate, Setup and Install

Register

Use

Share

Post-Purchase Support

Repurpose

Customer Needs

The Unmanaged/ Lightly Managed SMBs look for ROI & efficiency.



Magellan Design Center

Unmanaged/ Lightly Managed SMB
Looking for ROI & Efficiency



Personas
Office Manager
Generalist IT

10-250 employees
Generalist IT
~6-15 printers
AMPV: ~500pgs

"Printer stuff should be 5% of my job or less.
Save me time."

"I want to get my work done quickly"

Good PQ & reliability
Good functionality
Supplies price (running costs)
Advanced security

DM - Office printer (desktop) criteria

Business Decision Maker	
1. Print Quality (consistency, sharpness)	44%
2. Reliability (durability, warranty length, servicing)	42%
3. Product functions: WL, Dup, ADF, Speed (FPO, ppm), Scan	35-38%
4. Supplies price (Supplies running cost, TCO)	37%
5. Ease of use	36%
6. Printer price	35%

IT Decision Maker	
1. Supplies price (Supplies running cost, TCO)	26%
2. Built in security features	26%
3. Remote monitoring	25%
4. Printer price	25%
5. Product functions: WL, Speed (FPO, ppm), Scan	23%
6. Ease of use	23%

- BDMs and ITDMs priorities defer.
- Print quality and reliability dominate BDMs requirements for office printers.
- For ITDMs, it is all about supplies prices, security, remote monitoring.

Customer Pain Points

WW Marketing Questions – Target audience

Who is our target audience? Are there any differences by country? Please specify age, gender, and profession.

What percentage of revenue do we expect from each target group? Which group represents the low-hanging fruit?

For these target groups, are we discussing IB replacement or net new customers? Please specify the percentages.

Which geographical areas have the highest sales potential? Please rank the top 5/10 in order of sales potential.

What are the top 3 customer needs and top 3 pain points of the target audience? If we have more than one target, please specify needs and pains for each target.

What does our target audience value most and why? Please specify ONE THING only.

What could prevent them from making a purchase? What are the major barriers to buying?

What customer pain point does our product solve?

WW Marketing Questions – Use cases

What are the top 3-5 use cases?

Why should one use our product over other options in the market for these use cases?

Are there any differences by geographical region?

Top Priorities next 3-5 years

- Premium for CISS
- Solutions enhancement with AI
- Solutions monetization

Mobile printing

HP App

Solutions/Services

Consolidated portal for manageability (SMB portal)
AI solutions - Print, Scan, Support
PaaS

7. How we win - Offer

Value prop

Breakthrough AI Productivity Meets Powerful Performance



In HP's Most Cost-Efficient Color Printing Solution for Growing Businesses.

Magellan S'27



Best AI Productivity, Scan Workflow & Manageability Solutions
that make managing your business easier today and, in the future

HP's lowest business TCO with min intervention
HP's most advanced tank printing system and a maintenance free experience

The ultimate workhorse built for SMBs
Convenient, non-stop printing with built-in best-in-class security

Most sustainable SMB tank printer
with at least 60% RCP and a reduction in single-use plastic packaging



WW Marketing Questions - Value proposition

Which are the first, best, and only claims we could use against competitors?

Can you substantiate each superlative and comparative with tests? (Best, First, Only, Better, Faster)

Could you gather data points to support strong claims? For example: 2X speed, 50% less time to set up, etc.

What are the key differentiators for HP that address our customers' needs

Are there competitive gaps our portfolio uniquely addresses

What are the emerging trends or technologies that could impact our products competitiveness in the future

Do we have a clear competitive advantage or differentiation to drive purchase

WW Marketing Questions – Product positioning

Why should the customer buy the new product in one sentence? Maximum of 10 words.

If you could highlight only one thing, what would make the customer desire this product?

What are the key insights used in developing this product?

What are the SW / Services / Solutions being offered with this product and how are they adding value to the hardware value prop?

Pricing: how do we compare to the competition in terms of hardware, supplies, and total cost of ownership (TCO)? If our product is more expensive than other alternatives, why should the customer pay a premium?

WW Marketing Questions – Top experiences/features

How does the new product compare vs. the predecessor on key features/experiences?

(Please rank the top 5/10)

- Not applicable. New product, no predecessor.

What are the net-new key features/experiences this product is delivering?

(Please rank the top 5/10)

- Not applicable. New product, no predecessor.

Rank the top 5 product features and their correspondent customer benefits.

1. Tank powerhouse with HP's lowest business TCO
2. AI solutions - Perfect Print/ Scan
3. Consolidated portal - Device management for the small office
4. Maintenance free or less maintenance (less parts to replace overlife) - TBC: under investigation
5. Sustainability - 60% RCP (Epson 30%, Canon TBC)

Are we superior to the competition in these 5 features? Please specify why.

1. We are superior in AI solutions, device management and RCP %.
2. For the maintenance claim, it is still under investigation.

MVP

Key differentiators

- AI solutions - Perfect Print/ Scan
- Consolidated portal - Device management for the small office
- Maintenance free or less maintenance (less parts to replace overlife) - TBC: under investigation
- Sustainability - 60% RCP (Epson 30%, Canon TBC)

First or Best

- HP's First Business Tank

Detailed requirements

[Link to PDers](#)

[Link to Solutions](#)

[Link to Design](#)

Telemetry requirements

Product walk around